

Exhibit 55: Larger capitalization firms have better accounting scores on average

Number of firms in the bucket	Market cap range (Rs bn)	Market cap range (US\$ bn)	Average accounting score	Average share price performance	% stocks in 'Zone of Darkness'
Top 50	Rs 360bn– Rs 4187bn	US\$5.3bn– US\$62bn	216	13.2%	28%
Next 100	Rs 82bn– Rs 348bn	US\$1.2bn– US\$5.1bn	221	18.8%	21%
Next 100	Rs 37bn– Rs 82bn	US\$ 0.55bn– US\$1.2bn	212	15.5%	26%
Bottom 161	Rs 3.7bn– Rs 36.9bn	US\$ 0.05bn– US\$0.55bn	204	11.7%	39%

Source: Ace Equity, Capitaline, Bloomberg, Ambit Capital

Note: Accounting score is based on Ambit Capital's proprietary account framework using annual financial statements over FY11–16; stock price performance is from November 2010 to November 2016 (on a CAGR basis). Universe for this exhibit is BSE500.

*'Zone of Darkness' is defined as the bottom 30 per cent of the companies in the entire universe.

As a result, whilst the scope for generating superior long-term investment returns is significantly greater with small-caps (relative to large-caps), the need for professional help is disproportionately greater than is the case with